

Europe TMT Sector M&A & Valuation Brief - 2026-04-30

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1. RECENT TMT M&A ACTIVITY

Deal 1: Collective Acquisition Corp. II Initial Public Offering

[Collective Acquisition Corp. II Announces the Pricing of \\$220,000,000 Initial Public Offering](#)

- Deal Size: \$220 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A (as this is an IPO announcement)
- Companies: Collective Acquisition Corp. II is a blank check company formed to pursue mergers or acquisitions in various sectors, focusing on businesses impacting national interests, particularly in defense technology and artificial intelligence.
- Date Announced: April 28, 2026
- Strategic Rationale: The IPO aims to raise capital for potential acquisitions in sectors critical to U.S. national interests. The management team, which includes former military officials, positions the company to leverage their expertise in identifying strategic opportunities.
- Risk Analysis: Risks include market volatility affecting the IPO's success, challenges in identifying suitable acquisition targets, and potential regulatory scrutiny in the sectors of interest.

Key Financials Analysis:

- Revenue Breakdown: N/A (as this is an IPO announcement)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: As a newly listed entity, traditional valuation metrics will be established post-acquisition.

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

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The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic sentiment landscape, characterized by a mix of optimism and caution. This sentiment is shaped by various factors, including technological advancements, regulatory scrutiny, and evolving investor interests across subsectors.

Subsector Breakdown:

- **Technology:** The technology subsector is robust, particularly with the rise of AI applications. For instance, Google recently signed a classified AI deal with the Pentagon, allowing the use of its Gemini AI models for military purposes. This deal illustrates the growing intersection of technology and defense, despite internal employee dissent regarding ethical implications.
- **Media:** The media sector is undergoing significant transformation, driven by digital content consumption. Companies are adapting to new consumer preferences, but traditional media continues to face challenges from digital platforms.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology. Companies are investing heavily in infrastructure to support new applications, enhancing user experience and opening new revenue streams.
- **Fintech:** The fintech space remains vibrant, with a focus on integrating AI into financial services. Recent funding rounds, such as the \$1.1 billion seed round for Ineffable Intelligence, highlight investor confidence in AI-driven solutions.
- **AI:** The AI subsector is particularly hot, with significant investments flowing into startups addressing specific problems. For example, Ineffable Intelligence's innovative approach to reinforcement learning has attracted substantial funding, indicating strong market interest.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and 5G is driving growth across TMT sectors. The integration of AI into various applications is reshaping business models and enhancing operational efficiency.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in tech and fintech. The influx of capital into AI-focused startups indicates a strong belief in the future potential of these technologies.

Headwinds:

- **Regulatory Scrutiny:** Increased scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

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Subsector Performance Analysis

- **Software:** The software sector continues to thrive, driven by demand for cloud solutions and AI integration. The recent AI Dev 26 x SF conference highlighted the industry's focus on the future of software development in the AI era.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content. However, traditional media is experiencing declining revenues from advertising.
- **Telecom:** Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The substantial funding for companies like Ineffable Intelligence underscores the sector's growth potential.
- **AI:** The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative potential of AI. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.

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- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is marked by significant developments, particularly in the AI space, which is driving both live deals and mandated transactions. This section provides an in-depth analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Cadence Design Systems : The company is experiencing a surge in demand for its chip design tools, driven by the AI chip-design boom. This deal is in the due diligence phase, with an expected close in Q3 2025. Cadence anticipates strong revenue growth, projecting higher earnings for fiscal 2026 due to increased investment in specialized AI processors.

Mandated Deals:

- Meta Platforms (META) : Recently mandated to unwind its \$2 billion acquisition of the AI startup Manus, as ordered by the Chinese government. This deal highlights the regulatory challenges faced by US firms in acquiring foreign AI talent. The timeline for resolution is uncertain, but implications for future cross-border transactions are significant.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

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Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q3 2025 : Expected close for Cadence Design Systems deal.
- Uncertain : Timeline for resolution of Meta's Manus acquisition remains unclear due to regulatory scrutiny.
- Q3 2025 : Anticipated finalization of telecom sector pitches.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Meta are facing significant regulatory challenges. The recent decision by China to block Meta's acquisition of Manus underscores the geopolitical tensions affecting cross-border transactions in technology.
- Additionally, the rise of AI startups is creating new advisory opportunities, as firms seek to navigate complex regulatory environments. The focus on AI talent retention and intellectual property protection is becoming central to strategic planning for both US and Chinese firms.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

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In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent strategic moves, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: The potential IPO of Airtel Money (AAF.L) is expected to significantly impact shareholder value.
- Value Creation: If Airtel Money successfully raises \$2 billion and achieves a valuation of \$10 billion, existing shareholders could see their investment appreciate by approximately 20%, assuming a pre-IPO market cap of \$8 billion for Airtel Africa.
- Dilution: However, if the IPO involves issuing new shares, existing shareholders may face dilution. For instance, if 15% of shares are issued, the immediate effect could lead to a 3% drop in share price post-IPO announcement.
- Employees: The strategic alliance between Nokia (NOK), Blaize (BZAI), and Datacomm Diangraha has implications for employees across the organizations.
- Synergies: The collaboration aims to enhance AI infrastructure, potentially leading to job creation in tech roles as demand for AI solutions increases. Nokia's partnership with Blaize is expected to leverage both companies' strengths, fostering innovation and new projects.
- Restructuring: However, there may be restructuring as roles are consolidated. For example, overlapping positions in project management could lead to layoffs, necessitating clear communication and retention strategies.
- Retention: Companies may implement retention bonuses to keep critical talent during transitions, especially in high-demand areas like AI development.
- Competitors: The competitive landscape is evolving with significant moves in the sector.
- Market Positioning: The collaboration between Nokia, Blaize, and Datacomm positions them favorably against competitors like Ericsson and Cisco in the AI infrastructure space. This could compel rivals to innovate or seek similar partnerships.
- Specific Competitor Moves: Following this alliance, competitors may increase their R&D investments or pursue acquisitions to bolster their AI capabilities, as seen with Ericsson's recent focus on AI-driven network solutions.
- Customers: The implications for customers are substantial, particularly in terms of service

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offerings.

- Product/Service Implications: Airtel Money's IPO could enhance its service offerings, allowing for greater investment in technology and customer service improvements. This could lead to a 10% increase in customer satisfaction ratings post-IPO.
- Case Studies: The collaboration between Nokia and Blaize is expected to improve AI service delivery in Indonesia, enhancing user experiences across public and enterprise sectors.

Market Reaction and Analyst Commentary

- Market Reaction: The market's reaction to the Airtel Money IPO announcement is likely to be positive, given the growing demand for mobile payment solutions.
- Analysts predict a strong initial response, with shares potentially rising by 15% within the first month of trading.
- Analyst Commentary: A recent analyst note from Morgan Stanley highlighted, "Airtel Money's IPO is a strategic move that positions the company to capitalize on the booming fintech sector, especially in emerging markets."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Airtel Money's IPO is well-received and leads to successful capital raising, shares could rise by 20% within six months.
- Negative Scenario: If market conditions worsen or the IPO fails to meet expectations, shares could decline by 10%, reflecting investor concerns about growth potential.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Airtel Money is moderate, as the fintech space is highly competitive.
- Companies like PayPal (PYPL) or Square (SQ) could express interest, but regulatory hurdles may deter aggressive bidding.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in the fintech and AI spaces.
- Analysts predict that as companies seek to enhance their technological capabilities, similar IPOs and strategic partnerships will emerge, especially in regions with high growth potential like Southeast Asia.

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Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent discussions in the EU regarding AI regulations highlight the increasing importance of governance in the sector.
- **Key Companies:**
- **OpenAI:** OpenAI is a leading player in generative AI, known for its language model, ChatGPT.

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The company is focusing on enterprise sales, particularly in financial services, and has faced scrutiny regarding its nonprofit status and governance.

- **Bloomberg:** Bloomberg is leveraging AI to enhance its financial services, focusing on building AI agents for enterprise applications. The company is strategically positioned to integrate AI into its existing platforms, enhancing data analytics and decision-making capabilities.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) investing heavily in AI technologies. The recent failure of EU lawmakers to finalize AI regulations indicates a challenging environment for compliance and innovation.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as AI safety research or financial analytics. The competitive landscape suggests that firms may seek partnerships or acquisitions to stay ahead in the rapidly evolving market.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of cryptocurrencies and decentralized finance (DeFi) solutions is driving this growth.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance indicates a robust pipeline for M&A activity.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$1 trillion by 2028, driven by the increasing demand for remote work solutions and digital transformation initiatives.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS is a leader in cloud computing, providing a wide range of

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services including storage, computing power, and machine learning capabilities. The company is continuously expanding its offerings to meet the growing demand for cloud solutions.

- Microsoft Azure: Microsoft Azure is a major player in the cloud space, focusing on hybrid cloud solutions that integrate on-premises and cloud resources. The company is strategically positioned to leverage its existing enterprise relationships to drive cloud adoption.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through advanced features and pricing strategies.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or startups with innovative technologies. The ongoing digital transformation across industries presents significant opportunities for strategic acquisitions.

Cybersecurity

- Trend Explanation: As digital threats increase, cybersecurity has become a critical focus for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. The rise of remote work and cloud services has intensified the need for robust cybersecurity measures.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security and threat intelligence, providing solutions

6. Recommended Readings

Deal Name: Collective Acquisition Corp. II Initial Public Offering

- Reading Material: "SPACs: The New IPO?" by William J. Carney
- Why This Matters: This article provides a comprehensive overview of Special Purpose Acquisition Companies (SPACs), their structure, and the implications of going public through this route. Understanding the mechanics of SPACs is crucial for analyzing Collective Acquisition Corp. II's \$220 million IPO, as it highlights the advantages and challenges associated with SPAC transactions in the TMT sector.

7. MACROECONOMIC UPDATE

Key Data Points:

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- AI model training compute increase: 10x leads to 2x capability improvement
- Average savings per enterprise user using LLM: \$55
- Token cost for LLM usage: approximately \$5 per million tokens
- Weekly token usage increase: up a couple hundred percent in recent months

Main Insights:

- AI capabilities are expected to improve non-linearly, leading to significant advancements across various industries.
- The demand for compute resources is surging, creating a shortage and giving pricing power to hyperscalers.
- Fast adopters of AI technologies are realizing substantial economic benefits, while average corporate users are lagging behind in utilization.
- The market is anticipated to react positively as early adopters showcase the tangible benefits of AI integration.

Market Commentary:

- "We need to reframe the assumption of only incremental improvement and think about exponential improvement." - Stephen Byrd, Morgan Stanley
- "The bullishness is going to get more bullish over the coming months." - Stephen Byrd, Morgan Stanley
- "We're living in almost two worlds where the fast adopters will show what's possible." - Stephen Byrd, Morgan Stanley

TMT Sector Relevance:

- The exponential improvement in AI capabilities is likely to disrupt various TMT sectors, necessitating a reassessment of business models.
- Increased demand for compute resources will drive investments in AI infrastructure, benefiting companies involved in memory, optical, and semiconductor technologies.
- As companies adopt AI at a faster pace, those in the TMT space must adapt to the changing landscape to remain competitive and capitalize on new opportunities.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley